

COMPANY POLICY HANDBOOK

A Complete Guide to Workplace Policies & Procedures

Company:	XYZ Corporation Pvt. Ltd.
Version:	2025 Edition
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Prepared by:	Human Resources Department
Approved by:	Chief Executive Officer

This handbook outlines the policies, procedures, and guidelines applicable to all employees. All employees are expected to read, understand, and adhere to these policies. This document supersedes all previous versions.

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1. LEAVE POLICY

XYZ Corporation recognizes that employees require time off for personal, medical, and recreational purposes. The following leave categories are available to all confirmed employees:

1.1 Annual / Earned Leave (EL)

All permanent employees are entitled to 18 days of earned leave per calendar year, accrued at 1.5 days per month. Unused leave can be carried forward up to a maximum of 30 days.

- Minimum 3 days' advance notice required for planned leave.
- Leave encashment is permitted at the time of separation or year-end (max 10 days).

1.2 Sick Leave (SL)

Employees are entitled to 12 days of paid sick leave per year. A medical certificate is mandatory for absences exceeding 3 consecutive days.

1.3 Casual Leave (CL)

6 days of casual leave are provided per year for unplanned or personal exigencies. Casual leave cannot be combined with earned leave or public holidays.

1.4 Maternity Leave

Female employees are entitled to 26 weeks of paid maternity leave as per the Maternity Benefit (Amendment) Act, 2017. This applies to the first two children. Adoption leave of 12 weeks is available for mothers adopting a child below 3 months.

1.5 Paternity Leave

Male employees are entitled to 5 days of paid paternity leave within 30 days of the birth of a child.

1.6 Public Holidays

Employees observe 10 national and regional public holidays per year. A holiday calendar is published at the beginning of each year by the HR department.

Note: Leave without pay (LWP) will be recorded when the employee has exhausted all eligible leave balances.

2. CODE OF CONDUCT

Every employee represents the company and is expected to maintain the highest standards of professionalism, integrity, and ethical behavior at all times.

2.1 Professional Behavior

- Treat all colleagues, clients, and partners with respect and courtesy.
- Maintain confidentiality of sensitive business information.
- Avoid conflicts of interest; disclose any potential conflicts to HR immediately.
- Do not engage in activities that damage the company's reputation.

2.2 Dress Code

Business casual attire is required Monday through Thursday. Casual Fridays are permitted. Client-facing roles must maintain formal dress standards at all times.

2.3 Social Media & Public Communications

Employees must not share confidential company information, financial data, or unreleased product details on any public platform. Personal opinions expressed on social media must not be attributed to the company.

2.4 Disciplinary Action

Violations of the Code of Conduct may result in verbal warning, written warning, suspension, or termination depending on severity. All disciplinary actions are documented and stored in the employee's personnel file.

3. WORK HOURS & ATTENDANCE

3.1 Standard Work Hours

The standard work week is 40 hours, Monday through Friday, 9:00 AM to 6:00 PM with a one-hour lunch break. Flexible working arrangements may be approved by department heads on a case-by-case basis.

3.2 Remote Work Policy

Eligible employees may work remotely up to 2 days per week, subject to manager approval and role suitability. Remote employees must be reachable during core hours (10 AM – 4 PM) and maintain the same productivity standards.

3.3 Attendance & Punctuality

- Employees must mark attendance through the official HR portal or biometric system.
- Three late arrivals in a month (more than 15 minutes) will be considered one day of leave.
- Excessive or habitual absenteeism is subject to disciplinary action.

3.4 Overtime

Overtime is compensated at 1.5x the regular hourly rate for non-exempt employees. Pre-approval from the department head is required. Compensatory Off (Comp-Off) may be provided in lieu of overtime pay.

4. COMPENSATION & BENEFITS

4.1 Salary & Payroll

Salaries are disbursed on the last working day of each month via direct bank transfer. Salary slips are available on the employee self-service portal. Any discrepancies must be reported to HR within 7 working days.

4.2 Performance Bonuses

Annual performance bonuses are awarded based on individual KPIs, team performance, and company profitability. Bonus amounts range from 5% to 30% of the annual CTC and are communicated in March each year.

4.3 Health Insurance

All employees and their immediate family (spouse + 2 children) are covered under the Group Medclaim Policy up to INR 5,00,000 per annum. Pre-existing conditions are covered after a 30-day waiting period.

4.4 Provident Fund & Gratuity

- 12% of basic salary contributed to EPF by both employee and employer.
- Gratuity is payable after 5 years of continuous service as per the Payment of Gratuity Act.

4.5 Other Benefits

- Meal coupons / cafeteria subsidy: INR 2,200/month
- Internet reimbursement for remote workers: up to INR 1,000/month
- Learning & Development budget: INR 15,000/year per employee
- Employee Assistance Program (EAP): free counseling sessions

5. ANTI-HARASSMENT & DISCRIMINATION POLICY

XYZ Corporation is committed to maintaining a workplace free from harassment, bullying, and discrimination of any kind. All employees are entitled to a safe and respectful work environment.

5.1 Prohibited Conduct

- Sexual harassment, including unwelcome advances, quid pro quo, or hostile environment.
- Discrimination based on gender, race, religion, nationality, age, disability, or sexual orientation.
- Workplace bullying, intimidation, or verbal/physical abuse.

5.2 Internal Complaints Committee (ICC)

As mandated by the POSH Act, 2013, the company has constituted an Internal Complaints Committee. Any employee who experiences or witnesses harassment must report it to the ICC within 3 months of the incident.

5.3 Investigation Process

All complaints are treated confidentially. The ICC will complete its inquiry within 90 days. Both parties will be heard, and a fair decision communicated in writing. Retaliation against complainants is strictly prohibited.

Note: Contact the ICC at icc@xyzcompany.com or in person at HR Office, Floor 3.

6. IT & DATA SECURITY POLICY

All employees are responsible for protecting the company's digital assets, data, and IT infrastructure from unauthorized access, breaches, and misuse.

6.1 Acceptable Use

- Company devices and internet access are for business use. Limited personal use is permitted.
- Downloading unlicensed software or accessing inappropriate websites is prohibited.
- Employees must lock their screens when away from their workstation.

6.2 Password & Access Management

- Passwords must be at least 12 characters, changed every 90 days, and not reused.
- Multi-factor authentication (MFA) is mandatory for all company systems.
- Credentials must never be shared with anyone, including IT staff.

6.3 Data Handling

All customer and employee data is classified as confidential. Data must only be stored in company-approved platforms. Transferring sensitive data to personal devices or unapproved cloud storage is prohibited.

6.4 Incident Reporting

Any suspected data breach, phishing attempt, or security incident must be reported to IT Security immediately at security@xyzcompany.com. Timely reporting is critical to minimize risk.

7. HEALTH & SAFETY POLICY

The company is committed to providing a safe, healthy, and accident-free workplace in compliance with all applicable regulations.

7.1 General Safety Rules

- All employees must follow fire safety, emergency exit, and evacuation procedures.
- First aid kits are located on every floor. Trained first aiders are identified by a green badge.
- Report any unsafe conditions, hazards, or accidents to the Facilities team immediately.

7.2 Emergency Procedures

In case of fire or emergency: activate the alarm, evacuate via the nearest emergency exit, assemble at the designated muster point, and await instructions from the Safety Officer. Do not use elevators during emergencies.

7.3 Workplace Ergonomics

Employees should ensure proper seating posture, monitor height, and lighting. The company provides ergonomic assessments upon request. Regular breaks are encouraged to reduce repetitive strain injuries.

7.4 Mental Health & Well-being

The company recognizes mental health as equally important as physical health. Employees experiencing stress, burnout, or personal difficulties are encouraged to use the Employee Assistance Program (EAP) for free, confidential support.

8. PERFORMANCE MANAGEMENT

A structured performance management process helps employees grow, align with company goals, and achieve their full potential.

8.1 Goal Setting

At the start of each year, employees and managers collaboratively set SMART goals aligned with departmental and organizational objectives. Goals are documented on the HR portal.

8.2 Mid-Year Review

A mid-year review is conducted in July to assess progress, provide feedback, and make adjustments to goals if required. This is not a formal appraisal but a developmental conversation.

8.3 Annual Appraisal

Annual performance appraisals are conducted in January–February for the preceding year. Ratings are on a 5-point scale: Exceptional, Exceeds Expectations, Meets Expectations, Needs Improvement, Unsatisfactory.

8.4 Performance Improvement Plan (PIP)

Employees rated 'Needs Improvement' for two consecutive cycles may be placed on a PIP. A PIP outlines specific improvement targets, timelines (typically 60–90 days), and support provided by management.

9. GRIEVANCE REDRESSAL POLICY

The company provides a fair and accessible mechanism for employees to raise work-related complaints and concerns without fear of retaliation.

9.1 Scope

This policy covers grievances relating to working conditions, interpersonal conflicts, policy interpretation, compensation discrepancies, and managerial conduct.

9.2 Grievance Procedure

Step	Action	Timeline
1	Informal Discussion with immediate manager	Within 7 days
2	Formal written complaint submitted to HR	Within 14 days
3	HR investigation and mediation	Within 21 days
4	Escalation to HR Head / Senior Management	Within 30 days
5	Final decision communicated in writing	Within 45 days

Note: All grievances are handled confidentially. Anonymous complaints may be submitted via the HR portal.

10. TERMINATION & EXIT POLICY

The company aims to ensure a professional, respectful, and legally compliant exit process for all departing employees, regardless of the reason for separation.

10.1 Resignation

Employees wishing to resign must submit a written notice to their manager and HR. Notice periods apply as follows:

Employee Level	Notice Period
Junior / Entry Level (0–3 yrs)	30 days
Mid-Level (3–7 yrs)	60 days
Senior / Management (7+ yrs)	90 days

10.2 Termination by Company

The company may terminate employment for cause (e.g., gross misconduct, fraud, policy violation) or without cause (restructuring). Terminations for cause may be immediate. All other terminations follow the applicable notice period or pay in lieu thereof.

10.3 Exit Process

- Exit interview with HR is mandatory.
- Return all company assets: laptop, access cards, mobile devices, documents.
- Knowledge transfer to be completed before last working day.
- Full and Final (F&F;) settlement processed within 45 days of last working day.

10.4 Non-Disclosure & Non-Compete

Departing employees are bound by the confidentiality and non-disclosure clauses signed at onboarding. Non-compete obligations apply for 12 months post-separation within the same industry and geography, as specified in the employment contract.

Note: For exit-related queries, contact hr-exit@xyzcompany.com or visit the HR office.

EMPLOYEE BENEFITS & WELLNESS HANDBOOK

Comprehensive Guide to Employee Benefits, Perks & Wellness Programs

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This handbook provides a complete reference for all employee benefits, wellness initiatives, financial perks, and support programs offered by XYZ Corporation. It is intended for internal use and serves as the official policy document for all related queries.

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1. HEALTH INSURANCE & MEDICAL BENEFITS

[Keywords: health insurance | mediclaim | group health policy | OPD | hospitalization | dental | vision]

XYZ Corporation provides comprehensive health coverage for all full-time employees and their dependents. Coverage begins from the date of joining for all confirmed employees.

1.1 Group Mediclaim Policy

All employees and their immediate family (spouse and up to 2 children under 25) are enrolled in the Group Mediclaim Policy underwritten by Star Health Insurance.

Coverage Type	Sum Insured
Employee only	INR 5,00,000
Employee + Spouse	INR 7,00,000
Employee + Spouse + Children	INR 10,00,000
Employee + Parents (optional add-on)	INR 3,00,000

1.2 OPD & Dental / Vision Coverage

- OPD reimbursement: Up to INR 10,000 per year (bills required).
- Dental coverage: Cleanings, fillings, and extractions covered up to INR 5,000/year.
- Vision: Annual eye examination + spectacles/lenses reimbursement up to INR 3,000.

1.3 Corporate Health Check-up

All employees above 30 years of age are entitled to one free annual health check-up at empanelled hospitals. Employees below 30 may opt-in at a subsidized rate of INR 500.

Note: Cashless hospitalization is available at 5,000+ network hospitals. Pre-authorization required for planned procedures exceeding INR 50,000.

2. RETIREMENT & FINANCIAL BENEFITS

[Keywords: provident fund | EPF | gratuity | NPS | national pension | superannuation | retirement | financial benefits]

The company offers a robust suite of financial security benefits to help employees plan for long-term financial well-being and retirement.

2.1 Employee Provident Fund (EPF)

As per the Employees' Provident Funds and Miscellaneous Provisions Act, 1952, both the employee and employer contribute 12% of the basic salary to the EPF account each month.

- Employee contribution: 12% of Basic + DA
- Employer contribution: 12% of Basic + DA (3.67% to EPF, 8.33% to EPS)
- Interest rate: As declared by EPFO annually (currently ~8.15% p.a.)

2.2 Gratuity

Gratuity is a statutory benefit payable to employees who have completed 5 or more years of continuous service, as per the Payment of Gratuity Act, 1972.

Formula: $(\text{Last drawn basic salary} \times 15 \times \text{number of years of service}) / 26$

2.3 National Pension System (NPS)

The company offers voluntary enrollment in NPS under the Corporate Model. Employer contributes an additional 10% of basic salary for enrolled employees, qualifying for tax deduction under Section 80CCD(2).

2.4 Group Term Life Insurance

All employees are covered under a Group Term Life Insurance policy providing a death benefit of 3x the annual CTC (minimum INR 20,00,000) to the nominated beneficiary at no premium cost to the employee.

2.5 Personal Accident Insurance

Coverage of 5x annual CTC for permanent total disability or accidental death. Partial disability is covered on a proportional basis per the policy terms.

Note: Employees should keep their nominees updated in the HR portal. Nomination forms available at HR Desk or hr-benefits@xyzcompany.com.

3. LEARNING & DEVELOPMENT (L&D) POLICY

[Keywords: learning | development | training | upskilling | certification | courses | L&D; budget | education reimbursement]

XYZ Corporation believes in continuous learning and invests significantly in employee skill development, certifications, and career growth.

3.1 Annual L&D; Budget

Every confirmed employee receives an annual Learning & Development budget of INR 20,000. This can be used for online courses, certifications, workshops, books, and conferences.

- Reimbursement submitted via the HR portal within 30 days of completion.
- Pre-approval required for expenses above INR 5,000.
- Unused L&D; budget does not carry forward to the next year.

3.2 Company-Sponsored Certifications

For role-critical certifications (e.g., AWS, PMP, CPA, CFA), the company fully sponsors exam fees and study material. A bond of 12 months post-certification applies for company-sponsored programs above INR 50,000.

3.3 Internal Training Programs

- Monthly technical and soft skills workshops organized by the L&D; team.
- Leadership development program for senior individual contributors and managers.
- Mandatory compliance training: POSH, Cybersecurity, Code of Conduct (annual).
- Mentorship program: pairing junior employees with senior leaders for 6-month cycles.

3.4 Education Assistance

Employees pursuing a part-time MBA or job-relevant postgraduate degree may apply for education assistance of up to INR 1,00,000 per year. A minimum performance rating of 'Meets Expectations' is required. A 24-month service bond applies post-assistance.

3.5 LinkedIn Learning Access

All employees receive a complimentary LinkedIn Learning license with access to 10,000+ courses. Employees are encouraged to complete at least 2 courses per quarter aligned with their development goals.

Note: Submit L&D; reimbursement claims at hr-portal.xyzcompany.com under 'Benefits > Learning & Development'.

4. MENTAL HEALTH & EMPLOYEE WELLNESS

[Keywords: mental health | EAP | employee assistance program | counseling | wellness | stress | burnout | well-being]

Employee well-being — physical, mental, and emotional — is a strategic priority at XYZ Corporation. We offer a range of programs to support holistic wellness.

4.1 Employee Assistance Program (EAP)

All employees and their immediate family members have access to confidential counseling through our EAP partner, InnerHour. Services are available 24/7 via phone, chat, or video.

- 6 free counseling sessions per year per employee (extendable on HR approval).
- Available in 8 languages including English, Hindi, Tamil, and Telugu.
- Covers: stress, anxiety, relationship issues, financial stress, grief, work burnout.

4.2 Mental Health Days

Employees are entitled to 3 paid Mental Health Days per year, separate from sick leave. No medical certificate required. Employees simply inform their manager and HR on the day itself.

4.3 Wellness Reimbursement

An annual wellness reimbursement of INR 8,000 is available for eligible expenses:

Category	Examples	Annual Limit
Fitness	Gym membership, yoga, sports club	INR 5,000
Mindfulness	Meditation apps, wellness retreats	INR 2,000
Nutrition	Dietician consultation	INR 1,000

4.4 No-Meeting Fridays

To support focused work and reduce fatigue, internal meetings are discouraged every Friday afternoon (post 2:00 PM). Employees are encouraged to use this time for deep work, learning, or personal wellness.

Note: EAP is completely confidential. Usage data is never shared with management or HR in identifiable form.

5. FLEXIBLE WORK & WORK-LIFE BALANCE

[Keywords: flexible work | remote work | work from home | hybrid | flexi hours | compressed workweek | work-life balance]

XYZ Corporation supports flexible work arrangements to enable employees to perform at their best while maintaining a healthy work-life balance.

5.1 Hybrid Work Model

Employees may work remotely up to 3 days per week. The mandatory in-office days are Tuesday and Wednesday. Teams requiring collaboration may have additional in-office days as decided by department heads.

5.2 Flexible Hours (FlexTime)

Employees may choose their start time between 8:00 AM and 10:30 AM, provided they complete 8 working hours per day and are available during core hours of 11:00 AM to 4:00 PM.

5.3 Compressed Workweek

Eligible employees (with manager approval) may opt for a 4-day workweek by working 10 hours per day Monday to Thursday. This is offered on a trial basis every quarter and reviewed based on productivity metrics.

5.4 Sabbatical Policy

Employees with 5+ years of tenure may apply for an unpaid sabbatical of 1 to 3 months for personal development, travel, or caregiving. Sabbaticals are subject to business need and manager approval. The employee's position is held during the sabbatical period.

5.5 Summer Hours

From May 1 to July 31, employees may leave at 4:00 PM on Fridays, provided weekly hours are met. This is an optional benefit and subject to team workload.

Note: Remote work eligibility excludes roles requiring on-site presence (Operations, Facilities, Support). Check with HR for role-specific applicability.

6. PARENTAL & FAMILY SUPPORT BENEFITS

[Keywords: maternity | paternity | parental leave | adoption | childcare | family support | fertility | surrogacy]

XYZ Corporation is committed to supporting employees through major life events, including parenthood and family caregiving responsibilities.

6.1 Extended Maternity Leave

Beyond the statutory 26-week paid maternity leave, XYZ Corporation offers an additional 4 weeks of paid leave for mothers of premature babies (born before 37 weeks) or children requiring NICU care.

6.2 Paternity Leave

Fathers are entitled to 15 days of fully paid paternity leave, to be availed within 3 months of the child's birth or adoption. Leave can be split into two blocks.

6.3 Adoption Leave

Employees adopting a child below 3 months of age are entitled to 12 weeks of paid adoption leave. For children above 3 months, 6 weeks of adoption leave applies. This applies to both parents.

6.4 Fertility & Surrogacy Support

The company provides up to INR 50,000 in financial assistance for fertility treatments (IVF, IUI) and surrogacy-related medical expenses, claimable once per employee lifecycle.

6.5 Childcare Support

- Creche/daycare reimbursement: up to INR 3,000/month for children under 5.
- Emergency childcare backup: 10 days/year of company-subsidized emergency childcare.
- Back-to-work program: phased return over 4 weeks post maternity leave (50% workload, full pay).

6.6 Elder Care Support

Employees caring for elderly or ailing parents may access 5 additional paid caregiver leave days per year and receive assistance through the EAP for caregiver support resources.

Note: All parental benefit claims must be submitted to HR at least 30 days in advance where possible.

7. TRAVEL & EXPENSE POLICY

[Keywords: travel policy | business travel | expense reimbursement | per diem | hotel | flight | travel allowance | T&E;]

All business travel and associated expenses must comply with this policy to ensure fair, consistent, and tax-compliant reimbursements.

7.1 Travel Authorization

All domestic travel must be pre-approved by the department head. International travel requires approval from both the department head and the CFO. Bookings must be made via the company travel portal (TravelDesk) at least 5 days in advance for domestic and 15 days for international travel.

7.2 Domestic Travel Entitlements

Employee Grade	Flight Class	Hotel (per night)	Per Diem
Junior (L1–L3)	Economy	Up to INR 3,500	INR 800
Mid-Level (L4–L6)	Economy	Up to INR 5,500	INR 1,200
Senior (L7–L9)	Economy/Business	Up to INR 8,000	INR 1,800
Director & Above	Business	Up to INR 12,000	INR 2,500

7.3 Expense Submission

- All expense claims must be submitted within 15 days of travel completion.
- Original receipts/invoices required for all claims above INR 500.
- Reimbursement processed within 7 working days of approval.
- Alcohol, personal entertainment, and luxury upgrades are not reimbursable.

7.4 International Travel

International travel is reimbursed in the local currency with forex conversion as per RBI reference rates on the date of expenditure. Travel insurance is mandatory and arranged by the company for all international trips exceeding 3 days.

Note: Submit all expense claims via the Finance portal at expenses.xyzcompany.com. Queries: finance-travel@xyzcompany.com.

8. REWARDS & RECOGNITION PROGRAM

[Keywords: rewards | recognition | awards | R&R; | appreciation | spot bonus | employee of the month | incentives]

XYZ Corporation believes in recognizing and celebrating employee contributions, both big and small. Our Rewards & Recognition (R&R;) program is designed to motivate, retain, and inspire our people.

8.1 Spot Awards

Managers can award Spot Awards of INR 1,000 to INR 5,000 to employees demonstrating exceptional performance, going above and beyond, or exhibiting company values. Awards are granted in real-time via the R&R; portal and credited to the employee's salary.

8.2 Employee of the Month

Each department nominates one employee per month. Winners receive a trophy, a certificate, INR 7,500 gift voucher, and a feature on the company intranet and LinkedIn page.

8.3 Annual Star Awards

Year-end awards recognize top performers across 10 categories including: Innovator of the Year, Customer Champion, Rising Star (< 2 years tenure), Team Excellence, and Mentor of the Year. Winners receive INR 25,000 and a trophy at the Annual Day event.

8.4 Service Milestone Awards

Years of Service	Award
1 Year	Welcome Kit + INR 2,000 voucher
3 Years	Personalized gift + INR 5,000 voucher
5 Years	Trophy + INR 10,000 voucher + Extra 2 days EL
10 Years	Plaque + INR 25,000 voucher + International trip
15+ Years	Hall of Fame induction + INR 50,000 + custom award

Note: Peer-to-peer recognition is available on the internal portal. Send a 'Kudos' to any colleague anytime — visible company-wide.

9. EMPLOYEE REFERRAL PROGRAM

[Keywords: referral | employee referral | referral bonus | hiring | recruitment | refer a friend | talent acquisition]

The Employee Referral Program (ERP) encourages employees to refer qualified candidates for open positions. Referrals are one of our highest-quality talent sources and are rewarded generously.

9.1 Referral Bonus Structure

Role Level	Referral Bonus (on joining)	Additional Bonus (after 6 months)
Junior (L1–L3)	INR 10,000	INR 5,000
Mid-Level (L4–L6)	INR 20,000	INR 10,000
Senior (L7–L9)	INR 40,000	INR 20,000
Director & Above	INR 75,000	INR 25,000
Critical / Hard-to-Fill Role	Up to INR 1,50,000	As notified by HR

9.2 Eligibility & Terms

- All permanent employees are eligible to refer candidates (excluding HR and Talent Acquisition teams).
- The referred candidate must be external and not have applied in the last 12 months.
- Referral must be submitted before the candidate applies through any other channel.
- The referring employee must be active on the payroll when the bonus is credited.
- Referrals for positions in the referring employee's direct reporting line are not eligible.

9.3 Referral Process

Submit referrals via the Careers portal under 'Refer a Friend'. The Talent Acquisition team will reach out to the candidate within 5 working days. The referring employee receives status updates at each stage of the recruitment process.

Note: Referral bonuses are taxable as per applicable income tax slabs and will be reflected in Form 16.

10. OFFBOARDING BENEFITS & ALUMNI POLICY

[Keywords: offboarding | exit | full and final | F&F; settlement | alumni | rehire | experience letter | relieving letter | COBRA | separation]

XYZ Corporation ensures that every departing employee is treated with dignity and that the separation process is smooth, professional, and legally compliant.

10.1 Full & Final (F&F;) Settlement

The F&F; settlement includes outstanding salary, leave encashment, gratuity (if applicable), reimbursable expenses, and any other dues. F&F; is processed within 45 days of the last working day.

Component	Details
Pending Salary	Paid up to last working day
Leave Encashment	Up to 30 days of earned leave
Gratuity	As per Payment of Gratuity Act (if 5+ years)
Notice Pay Recovery	Deducted if notice period not served
Bonus (Pro-rated)	Paid if resignation is post H1 review
Tax Deduction	TDS deducted as per applicable slab

10.2 Exit Documents

- Relieving Letter: Issued on the last working day upon completion of handover.
- Experience Letter: Issued within 7 days of last working day.
- PF Transfer / Withdrawal: Assisted by HR within 15 days of exit.
- Form 16: Issued by end of April for the relevant financial year.

10.3 Alumni Program

All employees who leave on good terms are welcomed into the XYZ Alumni Network. Alumni benefits include:

- Access to the alumni LinkedIn group and periodic networking events.
- Discount on company products/services (20% for 2 years post-exit).
- Priority consideration for rehire (Boomerang Employee Program).
- Invitation to Annual Day and culture events.

10.4 Boomerang (Rehire) Policy

Former employees who left in good standing may be rehired for the same or a different role. Previous tenure may be counted for seniority and leave purposes (subject to HR discretion). Rehired employees must complete a standard onboarding program.

Note: For all exit queries, contact hr-exit@xyzcompany.com. Relieving and experience letters can also be requested via the HR portal.

FINANCE & PAYROLL POLICY HANDBOOK

Payroll, Taxation, Reimbursements, Budgeting & Financial Controls

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Approved by:	Chief Financial Officer
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This handbook is the authoritative reference for all finance and payroll-related policies at XYZ Corporation. It covers salary structure, tax declarations, reimbursements, expense controls, budgeting, and audit compliance. All employees, managers, and finance team members are expected to adhere to these guidelines.

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1. PAYROLL STRUCTURE & SALARY COMPONENTS

[Keywords: CTC | salary structure | basic salary | HRA | allowances | gross salary | net salary | salary components | LTA | special allowance]

The total Cost to Company (CTC) is split into fixed and variable components. Understanding the salary structure helps employees plan their finances and tax investments effectively.

1.1 Standard Salary Breakup

The following table illustrates the standard salary component distribution for a sample CTC of INR 10,00,000 per annum:

Salary Component	% of CTC	Annual Amount (INR)	Taxability
Basic Salary	40%	4,00,000	Fully Taxable
House Rent Allowance (HRA)	20%	2,00,000	Partially Exempt (Sec 10(13A))
Leave Travel Allowance (LTA)	5%	50,000	Exempt (2 trips in 4 yrs)
Medical Allowance	2.5%	25,000	Taxable
Special Allowance	17.5%	1,75,000	Fully Taxable
Performance Variable Pay	10%	1,00,000	Fully Taxable
Employer PF Contribution	4.81%	48,100	Not in hand
Gratuity Provision	0.19%	1,900	Not in hand
Total CTC	100%	10,00,000	

1.2 Fixed vs Variable Pay

- Fixed Pay: Guaranteed monthly component — Basic, HRA, LTA, Special Allowance.
- Variable Pay: Performance-linked, paid quarterly or annually based on KPI achievement.
- Variable pay payout: 0% (Below expectations), 50% (Meets), 100% (Exceeds), 130% (Exceptional).

1.3 Net Take-Home Calculation

Net salary = Gross Salary – Employee PF (12% of Basic) – Professional Tax – TDS (Income Tax).
Employees can use the payroll calculator on the HR portal to estimate their monthly take-home.

Note: Salary structure may vary slightly by band and location. The Finance team issues individual salary breakup letters at the time of joining and upon revision.

2. PAYROLL PROCESSING & DISBURSEMENT

[Keywords: payroll processing | salary disbursement | payslip | salary date | payroll cycle | attendance | loss of pay | LOP | salary revision | increment]

Payroll at XYZ Corporation is processed monthly by the Finance & People Operations team. The process follows a strict calendar to ensure accurate and timely salary disbursement.

2.1 Payroll Calendar

Activity	Timeline
Attendance data lock (HR portal)	25th of every month
Leave & LOP reconciliation	26th–27th of every month
Investment declaration / reimbursement cutoff	28th of every month
Payroll processing & QA check	29th–30th of every month
Salary disbursement (bank transfer)	Last working day of the month
Payslip published on HR portal	1st of following month
TDS remittance to government	7th of following month

2.2 Loss of Pay (LOP)

LOP is applied when an employee is absent without approved leave or has exhausted all leave balances. LOP deduction = (Gross Monthly Salary / Number of working days in month) x Number of LOP days.

- LOP is reflected in the same month's payslip if attendance is locked by the 25th.
- Retroactive LOP adjustments are recovered in the following month's salary.

2.3 Salary Revision & Increments

Annual salary revisions are processed effective April 1 each year, aligned with the performance appraisal cycle. Revised salary is disbursed from April payroll. Arrears for delayed revisions are paid as a lump sum in the month of processing.

Performance Rating	Increment Range
Exceptional (5)	18% – 25%
Exceeds Expectations (4)	12% – 17%
Meets Expectations (3)	7% – 11%
Needs Improvement (2)	0% – 3%
Unsatisfactory (1)	0% (No increment)

Note: Employees who join after October 1 receive a pro-rated increment in their first appraisal cycle.

3. INCOME TAX & TDS POLICY

[Keywords: TDS | income tax | tax declaration | Form 16 | 80C | 80D | HRA exemption | new tax regime | old tax regime | investment proof | tax saving]

XYZ Corporation deducts TDS (Tax Deducted at Source) from employee salaries as per the Income Tax Act, 1961. Employees are responsible for making accurate tax declarations at the start of the financial year.

3.1 Tax Regime Selection

Employees must choose between the Old Tax Regime and the New Tax Regime at the beginning of each financial year (April). The choice can be changed once during the year (by December 31). Default regime is New Tax Regime as per Finance Act 2023.

Feature	Old Tax Regime	New Tax Regime (Default)
Basic Exemption Limit	INR 2,50,000	INR 3,00,000
Tax Rebate u/s 87A	Up to INR 5,00,000	Up to INR 7,00,000
Section 80C Deductions	Available (up to INR 1,50,000)	Not Available
HRA Exemption	Available	Not Available
Standard Deduction	INR 50,000	INR 75,000
LTA Exemption	Available	Not Available
Best Suited For	High investment employees	Low investment / simpler filing

3.2 Investment Declaration Process

- Provisional declaration: April – May (for TDS calculation for the full year).
- Actual proof submission: January 1 – January 31 (mandatory).
- Documents not submitted by January 31 will not be considered for exemption.
- All proofs uploaded via the HR portal under 'Tax > Investment Proofs'.

3.3 Common Tax-Saving Sections (Old Regime)

Section	Eligible Investment / Expense	Max Deduction
80C	PPF, ELSS, LIC, EPF, Home Loan Principal, NSC	INR 1,50,000
80D	Health insurance premium (self + family)	INR 25,000 – 50,000
80CCD(1B)	NPS additional contribution	INR 50,000
80E	Education loan interest	No limit (8 years)
80TTA	Savings bank interest	INR 10,000
24(b)	Home loan interest (self-occupied)	INR 2,00,000

3.4 Form 16

Form 16 (TDS certificate) is issued to all employees by May 31 each year for the preceding financial year. It contains Part A (TDS summary from TRACES) and Part B (salary breakup and deductions). Form 16 is available for download on the HR portal.

Note: Employees with income from other sources (rent, freelancing, capital gains) must self-file ITR. The company's TDS covers only salary income.

4. REIMBURSEMENT POLICY

[Keywords: reimbursement | mobile allowance | internet allowance | fuel | vehicle | meal | food | telephone | OPD | reimbursement claim | expense claim]

XYZ Corporation reimburses employees for specific work-related and welfare expenses as per their grade entitlements. All claims must be submitted with valid receipts through the HR/Finance portal.

4.1 Reimbursement Entitlements by Grade

Reimbursement Type	L1–L3 (Junior)	L4–L6 (Mid)	L7–L9 (Senior)	L10+ (Director)
Mobile / Telephone	INR 500/mo	INR 1,000/mo	INR 1,500/mo	INR 2,500/mo
Internet (WFH)	INR 500/mo	INR 800/mo	INR 1,000/mo	INR 1,500/mo
Fuel / Conveyance	INR 1,500/mo	INR 2,500/mo	INR 4,000/mo	INR 6,000/mo
Meal / Food Coupon	INR 1,500/mo	INR 2,200/mo	INR 2,200/mo	INR 2,200/mo
Newspaper / Books	—	INR 500/mo	INR 1,000/mo	INR 1,500/mo
Driver Allowance	—	—	—	INR 10,000/mo

4.2 Submission Rules

- Claims must be submitted by the 20th of each month to be included in the same month's payroll.
- Claims submitted after the 20th are processed in the following month.
- Original bills, invoices, or digital receipts must be attached for all claims.
- Claims older than 3 months will not be reimbursed.
- Reimbursements are paid along with monthly salary, not separately.

4.3 Tax Treatment of Reimbursements

Reimbursements paid against actual bills are generally tax-exempt up to the eligible limit. Flat allowances paid without bill submission are taxable as salary income. Meal coupons (Sodexo/Ticket Restaurant) are exempt up to INR 26,400 per annum (INR 50/meal, 2 meals/day).

Note: Submit all reimbursement claims at hr-portal.xyzcompany.com under 'Finance > My Claims'. Queries: payroll@xyzcompany.com.

5. LOANS & SALARY ADVANCES

[Keywords: salary advance | employee loan | personal loan | advance salary | festival advance | loan repayment | EMI deduction]

XYZ Corporation provides financial assistance to employees through salary advances and interest-free loans for eligible needs. These are subject to tenure, salary band, and Finance approval.

5.1 Salary Advance

Employees may request up to 50% of their monthly net salary as a one-time advance in cases of medical emergencies or urgent personal needs. The advance is recovered in full from the following month's salary.

- Eligibility: Employees who have completed 6 months of service.
- Frequency: Maximum 2 advances in a calendar year.
- Approval: Manager + HR approval required. Disbursed within 2 working days.

5.2 Festival / Emergency Advance

A festival advance of up to INR 10,000 is available to all permanent employees once per financial year. Recovered in 3 equal monthly installments. No interest charged.

5.3 Employee Personal Loan

Long-term interest-free loans are available for specific purposes — medical, education, housing deposit — subject to the following conditions:

Loan Purpose	Max Amount	Tenure	Eligibility
Medical Emergency	INR 1,00,000	12 months	1+ year of service
Education (Self/Child)	INR 2,00,000	24 months	2+ years of service
Housing Deposit/Rent	INR 75,000	10 months	1+ year of service
Vehicle (Two-Wheeler)	INR 50,000	12 months	2+ years of service

5.4 Loan Recovery & Exit

- Loan EMIs are automatically deducted from monthly salary.
- Outstanding loan balance is recovered from Full & Final settlement at exit.
- Employees cannot apply for a new loan if an existing loan is outstanding.

Note: Loan applications are submitted to Finance via the HR portal. Approval is at the sole discretion of the Finance Head and HR.

6. BUDGET PLANNING & COST CONTROL

[Keywords: budget | annual budget | department budget | cost control | OPEX | CAPEX | budget approval | purchase request | spend limit | financial planning]

All departments at XYZ Corporation operate within approved annual budgets. Budget discipline, accurate forecasting, and cost control are responsibilities shared by every team lead and manager.

6.1 Annual Budget Cycle

Phase	Activity	Timeline
Budget Planning	Departments submit budget proposals	October – November
Budget Review	Finance reviews and challenges assumptions	November – December
Budget Approval	CFO & CEO sign off on final budgets	December – January
Budget Communication	Approved budgets shared with dept heads	January
Quarterly Review	Budget vs actuals reviewed each quarter	April, July, Oct, Jan
Year-End Close	Final reconciliation and audit	March – April

6.2 Spend Authorization Matrix

All purchases and expenses must be approved based on the spend authorization matrix:

Spend Amount	Approving Authority
Up to INR 10,000	Team Lead / Manager (L6+)
INR 10,001 – INR 50,000	Department Head (L8+)
INR 50,001 – INR 2,00,000	VP / Senior Director
INR 2,00,001 – INR 10,00,000	CFO
Above INR 10,00,000	CFO + CEO joint approval
CAPEX (any amount)	CFO + CEO + Board (if > INR 50L)

6.3 Budget Overrun Policy

Any spend that exceeds the approved budget requires a Budget Overrun Request (BOR) submitted to Finance before the expense is incurred. Retrospective BOR approvals are not permitted. Repeated overruns may result in budget reductions in the next planning cycle.

Note: All purchase requests must be raised on the Finance portal (ERP system) before committing to any vendor.

7. ACCOUNTS PAYABLE & VENDOR PAYMENTS

[Keywords: accounts payable | vendor payment | invoice | purchase order | PO | vendor onboarding | payment terms | GST | TDS on vendor | 3-way match]

The Accounts Payable (AP) team is responsible for processing all vendor invoices, ensuring accuracy, compliance, and timely payment. All vendor payments must follow the standard AP workflow.

7.1 Vendor Onboarding

- All new vendors must be onboarded via the vendor registration portal before any work begins.
- Required documents: PAN, GST certificate, bank account details, MSME certificate (if applicable).
- Vendor verification (KYC) completed by the Finance team within 5 working days.
- No payments to unregistered vendors under any circumstances.

7.2 Invoice Processing Workflow

Step	Action	Owner	TAT
1	Vendor submits invoice to AP inbox	Vendor	On delivery
2	3-way match: PO vs GRN vs Invoice	AP Team	2 days
3	Department head approves invoice	Dept Head	1 day
4	Finance processes payment in ERP	Finance	1 day
5	Payment released via NEFT/RTGS	Accounts	Per payment terms

7.3 Standard Payment Terms

Vendor Category	Standard Payment Terms
Large Enterprises	Net 45 days from invoice date
SMEs / MSMEs	Net 30 days (MSMED Act compliance)
Freelancers / Consultants	Net 15 days from deliverable approval
Utilities & Subscriptions	On due date (auto-debit where possible)
Advance Payments	Allowed only with CFO approval + bank guarantee

7.4 TDS on Vendor Payments

TDS is deducted on applicable vendor payments as per Income Tax Act. Common TDS sections: 194C (contractors, 1–2%), 194J (professional services, 10%), 194H (commission, 5%). TDS certificates (Form 16A) are issued to vendors quarterly.

Note: All vendor invoices must be emailed to ap@xyzcompany.com. Queries: +91-44-XXXX-XXXX Ext. 210.

8. AUDIT, COMPLIANCE & INTERNAL CONTROLS

[Keywords: audit | internal audit | external audit | statutory compliance | internal controls | SOX | financial compliance | reconciliation | books of accounts]

XYZ Corporation maintains strict financial controls, conducts regular audits, and ensures full statutory compliance with all applicable laws and regulations.

8.1 Internal Audit

The Internal Audit team conducts quarterly audits of all financial transactions, payroll, vendor payments, and expense claims. Audit findings are reported to the CFO and Audit Committee.

- Payroll audit: Every quarter — validates headcount, salary changes, statutory deductions.
- Expense audit: Random sample (20%) of all reimbursement claims monthly.
- Vendor audit: Annual review of top 50 vendors by spend.
- Budget audit: Monthly budget vs actuals reviewed with department heads.

8.2 Statutory Compliance Calendar

Compliance	Frequency	Due Date	Authority
TDS Remittance	Monthly	7th of following month	Income Tax Dept
PF Contribution	Monthly	15th of following month	EPFO
ESI Contribution	Monthly	15th of following month	ESIC
Professional Tax	Monthly	Last day of month	State Govt
GST Filing (GSTR-1)	Monthly	11th of following month	GST Council
GST Filing (GSTR-3B)	Monthly	20th of following month	GST Council
TDS Return (Form 24Q)	Quarterly	31st of following month	Income Tax Dept
Statutory Audit	Annual	September 30	Company Act / MCA

8.3 Books of Accounts

All books of accounts are maintained on the company ERP (SAP) and preserved for a minimum of 8 years as per the Companies Act, 2013. Physical documents are archived in fireproof storage.

Note: Any employee approached by external parties regarding company financials must immediately report to the CFO. No financial data to be shared externally without CFO approval.

9. FINANCIAL MISCONDUCT & FRAUD POLICY

[Keywords: fraud | financial misconduct | embezzlement | false claims | expense fraud | bribery | corruption | whistleblower | anti-bribery | conflict of interest]

XYZ Corporation has zero tolerance for financial fraud, bribery, corruption, or any form of financial misconduct. All employees are obligated to act with integrity and report suspicious activity.

9.1 What Constitutes Financial Misconduct

- Submitting false, inflated, or duplicate expense claims.
- Misappropriation or embezzlement of company funds or assets.
- Accepting or offering bribes, kickbacks, or undisclosed gifts from vendors/clients.
- Manipulating financial records, payroll data, or accounting entries.
- Unauthorized access to financial systems or confidential financial data.
- Conflict of interest in vendor selection or contract awarding.
- Splitting purchase orders to circumvent authorization limits.

9.2 Gift & Hospitality Policy

Employees may accept nominal gifts from vendors or clients only within the following limits:

Gift / Hospitality Type	Permissible Limit	Disclosure Required
Cash gifts	INR 0 (never acceptable)	N/A
Non-cash gifts (festivals etc.)	Up to INR 2,000	No
Non-cash gifts above INR 2,000	Not acceptable	Must be returned
Business meals (client/vendor)	Up to INR 3,000/person	No
Conference / event sponsorship	Pre-approval required	Yes – CFO

9.3 Whistleblower Protection

Employees who report financial misconduct in good faith are protected from retaliation under the company's Whistleblower Policy. Reports can be made anonymously via:

- Whistleblower email: ethics@xyzcompany.com (monitored by Board Audit Committee).
- Anonymous hotline: 1800-XXX-XXXX (toll-free, available 24/7).
- Sealed physical complaint to: Chairman, Audit Committee, XYZ Corporation.

9.4 Consequences of Financial Misconduct

Depending on the severity, consequences range from written warning and recovery of misappropriated amounts to immediate termination without notice and legal prosecution under the Indian Penal Code and Prevention of Corruption Act.

Note: All fraud investigations are conducted by Internal Audit and Legal, independent of the accused employee's department head.

10. PAYROLL DISPUTE RESOLUTION

[Keywords: payroll dispute | salary error | salary discrepancy | wrong deduction | TDS error | payroll complaint | salary correction | dispute resolution]

Despite rigorous payroll controls, discrepancies can occasionally occur. XYZ Corporation has a structured process to resolve payroll-related disputes quickly and fairly.

10.1 Types of Payroll Disputes

- Incorrect salary amount or component calculation.
- Wrong LOP deduction (leave applied but salary deducted).
- Missing reimbursement or allowance in payslip.
- Incorrect TDS deduction or wrong tax regime applied.
- Salary revision not reflected in payslip.
- PF contribution discrepancy.
- F&F; settlement errors post-exit.

10.2 Dispute Resolution Process

Step	Action	Responsible Party	Timeline
1	Employee raises dispute via HR portal (Payroll Dispute Query)	Employee	Within 7 days of payslip
2	Payroll team acknowledges and investigates	Payroll Team	Within 2 working days
3	If error confirmed, correction made in next payroll	Finance	Next salary cycle
4	If urgent (> INR 5,000 error), off-cycle payment processed	Finance Head	Within 3 working days
5	Written resolution communicated to employee	HR	Within 5 working days
6	Escalation to HR Head if unresolved	Employee	After 10 working days
7	Final escalation to CFO if still unresolved	HR Head	After 15 working days

10.3 TDS Correction Process

If an employee believes TDS has been incorrectly deducted (wrong regime applied, proof not considered), they must raise the issue by January 31 for the current financial year. Post March 31, corrections are not possible in company payroll — the employee must claim the refund by filing their own ITR.

10.4 Payroll Records Retention

All payroll records, payslips, investment declarations, and TDS workings are retained for a minimum of 8 years. Employees may request historical payslips (up to 5 years) from the HR portal at any time.

10.5 Key Payroll Contacts

Query Type	Contact
Salary, LOP, Reimbursements	payroll@xyzcompany.com
TDS, Form 16, Tax Declarations	tds@xyzcompany.com
Loans & Advances	finance-loans@xyzcompany.com
Vendor & AP Queries	ap@xyzcompany.com

Fraud / Whistleblower	ethics@xyzcompany.com
General Finance Helpline	+91-44-XXXX-XXXX Ext. 200